CA INTER

AIR1CA CAREER INSTITUTE

ADVANCED ACCOUNTING

SEP 2025, JAN 2026 & MAY 2026 ONWARDS

Question Bank

Coverage of All Questions with Solutions as per ICAI

- ☑ Study Material
- ☑ Revision Test Papers (RTP)
- ☑ Past Exam Papers
- ☑ Mock Test Papers (MTP)

Advanced Accounting

Edition: August 2025

© Author

All right reserved. No part of this book should be copied, reproduced, stored in retrieval system, or transmitted, in any form, or by any means, electronic mechanical, photocopying, recording, or otherwise, without obtaining prior permission in writing from the author.

All disputes are subject to Jaipur Jurisdiction only.

CA INTER

AIR1CA CAREER INSTITUTE

ADVANCED ACCOUNTING

About the Question Bank

नमस्कार दोस्तों, राधे राधे !!

This Question Bank is prepared by **HP Agarwal** and **Ajay Agarwal (AIR 1)**. **HP Sir** has taught more than **35,000 students** till date and his **7** students has secured **AIR 1** in CA Exams. **CA Ajay Agarwal** got **Ever Highest Marks (653 out of 800)** in the history of ICAI in CA Final. He is also a **Gold Medalist** in Accounts and FM.

This Question Bank contains **600+ Questions** which are **bifurcated topic wise** in each chapter. This Question Bank is divided into 2 Parts. Part I contains Practical & Relevant Theory Questions and Part II contains Fully Irrelevant Theory Questions.

Key Figures and **Key words** as per ICAI are **Highlighted** in the answers of all chapters. **Source** for each question has been **provided** in detail after Index of the Question Bank.

All questions of this Question Bank has been **solved in the lectures** in detail. It is recommended to practice all questions of this Question Bank after referring the concept book and revision videos. This will help you to develop a strong grasp over the subject and be well-prepared for the exams.

Best wishes

HP Agarwal and Ajay Agarwal (AIR1)

Reach out to us at following for Classes, Test Series, Notes, Question Banks and Guidance

Telegram Channel – AIR1CA Guidance & Notes

Instagram – air1caatul, air1caajay, air1casurender, air1cahpagarwal

Call or Whatsapp – 7742554277, 9887554277

Youtube – Atul Agarwal

Website – air1ca.com

Email – air1icai@gmail.com

INDEX

AIR1CA CAREER INSTITUTE

ADVANCED ACCOUNTING

PART I: Practical and Relevant Theory Questions		
Chapter No.	**Chapter Name**	**Page No.**
1	Introduction and Applicability of Accounting Standards	1.1 – 1.5
2	Framework for Preparation and Presentation of Financial Statements	2.1 – 2.8
3	AS 1: Disclosure of Accounting Policies	3.1 – 3.8
4	AS 2: Valuation of Inventory	4.1 – 4.15
5	AS 3: Cash Flow Statement	5.1 – 5.47
6	AS 4: Contingencies and Events Occurring After Balance Sheet Date	6.1 – 6.10
7	AS 5: Net Profit or Loss, Prior Period & Changes in Accounting Policies	7.1 – 7.10
8	AS 7: Construction Contracts	8.1 – 8.14
9	AS 9: Revenue Recognition	9.1 – 9.14
10	AS 10: Property, Plant and Equipment	10.1 – 10.14
11	AS 11: The Effects of Changes in Foreign Exchange Rates	11.1 – 11.10
12	AS 12: Accounting for Government Grants	12.1 – 12.14
13	AS 13: Accounting for Investments	13.1 – 13.24
14	AS 14: Accounting for Amalgamations	14.1 – 14.95
15	AS 15: Employee Benefits	15.1 – 15.6
16	AS 16: Borrowing Costs	16.1 – 16.14
17	AS 17: Segment Reporting	17.1 – 17.7
18	AS 18: Related Party Disclosures	18.1 – 18.11
19	AS 19: Leases	19.1 – 19.9
20	AS 20: Earnings Per Share	20.1 – 20.10
21	AS 21, 23, 27: Consolidated Financial Statements	21.1 – 21.76
22	AS 22: Accounting for Taxes on Income	22.1 – 22.11
23	AS 24: Discontinuing Operations	23.1 – 23.5
24	AS 25: Interim Financial Reporting	24.1 – 24.6
25	AS 26: Intangible Assets	25.1 – 25.10
26	AS 28: Impairment of Assets	26.1 – 26.8
27	AS 29: Provisions, Contingent Liabilities and Contingent Assets	27.1 – 27.13
28	Preparation of Financial Statements of Companies	28.1 – 28.36
29	Buy Back of Securities	29.1 – 29.30
30	Internal Reconstruction	30.1 – 30.64
31	Accounting for Branches Including Foreign Branches	31.1 – 31.68
PART II: Fully Irrelevant Theory Questions		
1 to 31	Fully Irrelevant Theory Questions [From ICAI SM]	T.1 – T.40

Scan this QR code to watch Free Revision Lectures on YouTube for Advanced Accounting

SOURCE OF QUESTIONS

AIR1CA CAREER INSTITUTE

ADVANCED ACCOUNTING

Chapter	Study Material	Past Papers	RTP	MTP
Introduction & Applicability of AS	1, 2, 4, 5, 7, 8	3(N18)	6(M24)	–
Framework	3, 4, 6, 9 to 11	1(M18), 5(N21), 7(N22), 8(J25), 12(M23)	2(N19)	–
AS 1	1 to 5, 7, 9, 10	8(M19), 11(M23), 12(N23)	6(S25)	–
AS 2	1, 2, 4, 7, 8, 10, 14, 15	6(M22), 12(N23), 17(M21), 18(M24)	3(S24), 5(M23), 9(M21), 11(M22), 13(N22), 16(M25), 19(S25)	–
AS 3	1 to 12, 16, 18 to 19, 21, 23 to 29, 31 to 33	13(S24), 20(J25), 22(M24)	14(M25), 15(M21), 17(M24)	30(M25)
AS 4	1 to 6, 8, 9, 16	11(N18)	7(M21), 10(M19), 13(M25), 14(S24)	12(M25), 15(J25)
AS 5	1, 2, 5, 6, 9, 10, 14	3(M22), 13(M18), 15(N22), 16(J21), 17(N23)	4(N22), 7(N21), 8(S24)	11(M21), 12(M21)
AS 7	1, 2, 6, 8 to 11, 13 to 17, 19	4(M21), 5(N20), 12(M22)	3(N20), 7(S24), 18(M25)	–
AS 9	1, 2, 4, 5, 12, 14, 15, 17, 20, 21	8(M21), 19(N22), 23(N21)	3(M18), 6(M19), 7(N21), 9(S24), 10(N21), 16(M22), 18(J25), 22(M24)	11(M23), 13(M19)
AS 10	1 to 3, 5, 6, 8 to 12, 15, 17, 18, 20	7(M25), 13(N20), 16(M22), 19(M23)	4(M25), 14(M18)	–
AS 11	1, 4, 6, 7, 9, 11, 13	5(N23), 12(N18), 14(M23)	2(J25), 8(S24), 10(M25)	3(M25)
AS 12	1 to 5, 7, 9, 11 to 13, 16, 17	8(J21), 15(M23), 18(M21), 19(M22)	6(N21), 10(N18), 14(M25)	–
AS 13	1, 2, 3, 5, 6, 7, 8, 10, 11, 12, 16, 18, 19, 21, 22,	14(M23), 15(N22), 20(N21), 23(M19)	9(M20), 13(M24), 17(S24)	4(M25), 24(M20)
AS 14 [Amalgamation]	1, 2, 4, 6, 7 to 11, 13, 20, 23, 25, 27 to 31, 34	14(M24), 15(S24), 16(J21), 21(M21), 22(J25)	3(J25), 17(N21), 18(N22), 26(M21), 33(M25)	5(N19), 12(M25), 19(M25), 24(J25), 32(J25)
AS 15	1 to 4, 6, 7, 9	5(S24), 8(J25)	–	–

SOURCE OF QUESTIONS

AIR1CA CAREER INSTITUTE

ADVANCED ACCOUNTING

Chapter	Study Material	Past Papers	RTP	MTP
AS 16	1 to 9, 11	12(M24), 14(N23), 15(M23)	13(M23), 16(J25), 17(S24)	10(M23)
AS 17	1 to 8	–	–	–
AS 18	1 to 6, 8 to 11, 15 to 19, 22	7(J25), 23(M23)	12(N21), 13(M22), 14(M25), 20(J25), 21(M23)	–
AS 19	1, 2, 4, 5, 8 to 10	6(J25)	7(S25), 11(M25)	3(S24)
AS 20	1 to 9, 12, 14	10(N21), 13(J25), 11(M24)	15(J25)	–
AS 21, 23, 27 [Consolidation]	2 to 6, 9 to 11, 14 to 17, 19 to 22, 24, 25, 27 to 30, 33 to 36	1(M21), 7(J25), 8(M22), 13(M18), 18(N20), 23(M24), 32(S24)	26(S24), 31(J25)	12(M25)
AS 22	1 to 4, 6, 10 to 12	5(S24), 7(N22), 8(N23), 9(M21)	13(J25)	–
AS 24	3, 4, 6	–	1(N21), 2(M23), 5(N22)	–
AS 25	1 to 8	–	–	–
AS 26	2, 4, 7, 12	1(J21), 8(N23), 9(N20), 10(S24)	11(N21), 13(M24)	3(M21), 5(J25), 6(N19)
AS 28	1 to 9	–	–	–
AS 29	1 to 3, 9, 11, 14	6(M22), 8(J25), 17(N20)	4(M22), 7(S24), 10(M19), 13(M20), 15(J25), 16(M25)	5(M23), 12(J25), 18(N18)
Preparation of FS	1, 2, 3, 4, 5, 6, 7, 8, 9, 11	12(M24)	10(N21)	–
Buy Back of Securities	2 to 5, 7 to 11	1(J25), 6(N19), 12(N21)	–	–
Internal Reconstruction	1, 2, 4, 6 to 8, 11 to 13, 15 to 17, 22	3(M23), 5(S24), 10(N22), 19(J25), 20(M24)	18(M22), 21(M20), 23(N23)	9(J25), 14(M19)
Accounting for Branches Including Foreign Branches	1, 2, 4 to 7, 11 to 14, 16, 18 to 22, 24 to 32, 37, 38, 42	8(N20), 9(N22), 10(N23), 15(S24), 17(M22), 23(J25), 33(M23), 35(M24)	3(S24), 36(M23), 40(N22)	34(S24), 39(N22), 41(M22), 43(M22), 44(M25)

PART - I

Practical & Relevant Theory Questions

CHAPTER - 1
Introduction and Applicability of Accounting Standards

Meaning of AS

Question 1

What are the issues, with which Accounting Standards deal?

Answer

Accounting Standards deal with the issues of (i) **Recognition** of events and transactions in the financial statements, (ii) **Measurement** of these transactions and events, (iii) **Presentation** of these transactions and events in the financial statements in a manner that is meaningful and understandable to the reader, and (iv) **Disclosure** requirements.

Objectives & Advantages of AS

Question 2

Explain objective of "Accounting Standards" in brief. State the advantages of setting Accounting Standards.

Answer

Accounting Standards are the **written policy documents** issued by Government relating to various aspects of measurement, treatment, presentation and disclosure of accounting transactions and events.

Following are the objectives of Accounting Standards:

(a) Accounting Standards **harmonize** the diverse accounting policies and practices followed by different companies in India.

(b) Accounting Standards **facilitates** the preparation of financial statements and make them comparable.

(c) Accounting Standards give a sense of **faith and reliability** to the users.

The main advantage of setting accounting standards are as follows:

(a) Accounting Standards makes the financial statements of different companies **comparable** which helps investors in decision making.

(b) Accounting Standards **prevent any misleading** accounting treatment.

(c) Accounting Standards **prevent manipulation** of data by the management.

Question 3

"Accounting Standards standardize diverse accounting policies with a view to eliminate the non-comparability of financial statements and improve the reliability of financial statements. "Discuss and explain the benefits of Accounting Standards.

Answer

Accounting Standards standardize diverse accounting policies with a view to eliminate the non-comparability of financial statements and improve the reliability of financial statements. Accounting Standards provide a set

of standard accounting policies, valuation norms and disclosure requirements. Accounting standards aim at improving the quality of financial reporting by promoting comparability, consistency and transparency, in the interests of users of financial statements.

The following are the benefits of Accounting Standards:

(i) **Standardization of alternative accounting treatments**: Accounting Standards reduce to a reasonable extent confusing variation in the accounting treatment followed for preparation of financial statements.

(ii) **Requirements for additional disclosures**: There are certain areas where important is not statutorily required to be disclosed. Standards may call for disclosure beyond that required by law.

(iii) **Comparability of financial statements**: The application of accounting standards would facilitate comparison of financial statements of different companies situated in India and facilitate comparison, to a limited extent, of financial statements of companies situated in different parts of world. However, it should be noted in this respect that differences in the institutions, traditions and legal systems from one country to another give rise to differences in Accounting Standards adopted in different countries.

Applicability of AS on Non Corporate Entities

Question 4

List the criteria to be applied for rating a non-corporate entity as large entity and MSME entity for the purpose of compliance of Accounting Standards in India.

Answer

Non-company entities which fall in any one or more of the following categories, at the end of the relevant accounting period, are classified as large entities:

(i) Entities whose securities are **listed** or are in the **process of listing** on any stock exchange, whether in India or outside India.

(ii) **Banks** (including co-operative bank), **financial institutions**, entities carrying on **insurance business**.

(iii) All entities engaged in commercial, industrial or business activities, whose **turnover** (excluding other income) **exceeds ₹ 250 crore** in the immediately preceding accounting year.

(iv) All entities engaged in commercial, industrial or business activities having **borrowings** (including public deposits) in **excess of ₹ 50 crore** at any time during the immediately preceding accounting year.

(v) **Holding** and **subsidiary** entities of any one of the above.

Non-company entities which are not large entities or if fulfills following conditions are classified as MSME entities:

(i) whose equity or debt securities are **not listed** or are **not in the process of listing** on any stock exchange, whether in India or outside India;

(ii) which is **not a bank, financial institution** or an **insurance business**;

(iii) whose **turnover** (excluding other income) **does not exceed ₹ 250** crores in the immediately preceding accounting year;

(iv) which does **not have borrowings** (including public deposits) **in excess of ₹ 50 crores** at any time during the immediately preceding accounting year; and

(v) which is **not a holding or subsidiary** entity of large entity.

Question 5

M/s Omega & Co. (a partnership firm), had a turnover of ₹ 1.25 crores (excluding other income) and borrowings of ₹ 0.95 crores in the previous year. It wants to avail the exemptions available in application of Accounting Standards to non-corporate entities for the year ended 31.3.20X1. Advise the management of M/s Omega & Co in respect of the exemptions of provisions of ASs, as per the directive issued by the ICAI.

Answer

The question deals with the issue of Applicability of Accounting Standards to a non-corporate entity. For availment of the exemptions, first of all, it has to be seen that M/s Omega & Co. falls in which category of the non-corporate entities. Its classification will be done on the basis of the classification of non-corporate entities as prescribed by the ICAI. According to the ICAI, non-corporate entities can be classified under large and MSME entities.

Non-corporate entities which meet following criteria are classified as **MSME** entities:

(i) whose equity or debt securities are **not listed** or are **not in the process of listing** on any stock exchange, whether in India or outside India;

(ii) which is **not a bank, financial institution** or an **insurance business**;

(iii) whose **turnover** (excluding other income) **does not exceed ₹ 250** crores in the immediately preceding accounting year;

(iv) which does **not have borrowings** (including public deposits) **in excess of ₹ 50 crores** at any time during the immediately preceding accounting year; and

(v) which is **not a holding or subsidiary** entity of large entity.

As the turnover of M/s Omega & Co. is less than ₹ 250 crores and borrowings less than ₹ 50 crores, it falls under **MSMSE** non-corporate entities. In this case, AS 3, AS 14, AS 17, AS 18, AS 20, AS 21, AS 23, AS 24, AS 25, AS 27 and AS 28 will not be applicable to M/s Omega & Co. Relaxations from certain requirements in respect of AS 10, AS 11, AS 15, AS 19, AS 22, AS 26, AS 28 and AS 29 are also available to M/s Omega & Co.

Question 6

Based upon criteria for rating of non-corporate entity, categorize the following as large entities or MSME entities for the purpose of compliance of Accounting Standards in India.

(a) Rama Textiles whose turnover (excluding other income) does not exceed ₹ 50 crore in the immediately preceding accounting year.

(b) Star Industries is having borrowings (including public deposits) not in excess of ₹ 10 crore at any time during the immediately preceding accounting year.

(c) Newman Industries is having borrowings (including public deposits) less than ₹ 50 lakh at any time during the immediately preceding accounting year.

(d) SS Finance is a financial institution carrying its business in India since last 10 years.

(e) DD Finance, holding company of SS Finance. [Entity mentioned at Point (d) above]

(f) Reliable Co-op Bank, a co-operative bank, carrying banking operations since last 15 years.

Answer

(a) **MSME Entity:** Rama textiles, whose **turnover** (excluding other income) **not exceeds ₹ 250 crore** in the immediately preceding accounting year.

(b) **MSME Entity:** Star industries is having **borrowings** (including public deposits) **not in excess of ₹ 50 crore** at any time during the immediately preceding accounting year.

(c) **MSME Entity:** Newman Industries is having **borrowings** (including public deposits) **not in excess of ₹ 50 crore** at any time during the immediately preceding accounting year.

(d) **Large Entity:** SS is a **financial institution** carrying its business in India since last 10 years.

(e) **Large Entity:** DD finance, **holding company of SS finance** (Entity mentioned in point (d) above).

(f) **Large Entity:** Reliable co-operative banks carrying on **banking business** for the last 15 years.

Applicability of AS on Corporate Entities

Question 7

XYZ Ltd., with a turnover of ₹ 50 crores during previous year and borrowings of ₹ 1 crore during any time in the previous year, wants to avail the exemptions available in adoption of Accounting Standards applicable to companies for the year ended 31.3.20X1. Advise the on the exemptions that are available as per the Companies (Accounting Standards) Rules, 2021.

OR

List down the applicable criteria under the companies (Accounting Standards) Rule, 2021, to classify a company as Small and Medium Sized Company (SMC).

Answer

The question deals with the issue of Applicability of Accounting Standards for corporate entities.

The companies can be classified under two categories viz SMCs and Non SMCs under the Companies (Accounting Standards) Rules, 2021.

As per the Companies (Accounting Standards) Rules, 2021, criteria for above classification as SMCs, are:

"Small and Medium Sized Company" (SMC) means, a company-

(vi) whose equity or debt securities are **not listed** or are **not in the process of listing** on any stock exchange, whether in India or outside India;

(vii) which is **not a bank, financial institution** or an **insurance company**;

(viii) whose **turnover** (excluding other income) **does not exceed ₹ 250** crores in the immediately preceding accounting year;

(ix) which does **not have borrowings** (including public deposits) **in excess of ₹ 50 crores** at any time during the immediately preceding accounting year; and

(x) which is **not a holding or subsidiary** company of a company which is not a small and medium-sized company.

Since, XYZ Ltd.'s turnover was ₹ 50 crores which does not exceed ₹ 250 crores and borrowings of ₹ 1 crore are less than ₹ 50 crores, it is a **small and medium sized company (SMC).**

Question 8

A company was classified as Non-SMC in 20X1-X2. In 20X2-X3, it has been classified as SMC. The management desires to avail the exemptions or relaxations available for SMCs in 20X2-X3. However, the accountant of the company does not agree with the same. Comment.

Answer

As per Companies (Accounting Standards) Rules, 2021, an existing company, which was previously not a SMC and subsequently becomes a SMC, should not be qualified for exemption or relaxation in respect of accounting standards available to a SMC until the company remains a SMC for **two consecutive** accounting periods. Therefore, the management of the company **cannot avail** the exemptions/relaxations available to the SMCs for the FY 20X2-X3.

CHAPTER - 2
Framework for Preparation and Presentation of Financial Statements

Theoretical Concepts

Question 1

Briefly explain the elements of financial statements.

Answer

Elements of Financial Statements are

(i) **Asset:** Resource controlled by the enterprise as a result of past events from which future economic benefits are expected to flow to the enterprise.

(ii) **Liability:** Present obligation of the enterprise arising from past events, the settlement of which is expected to result in an outflow of a resource embodying economic benefits.

(iii) **Equity:** Residual interest in the assets of an enterprise after deducting all its liabilities.

(iv) **Income/gain:** Increase in economic benefits during the accounting period in the form of inflows or enhancement of assets or decreases in liabilities that result in increase in equity other than those relating to contributions from equity participants.

(v) **Expense/loss**: Decrease in economic benefits during the accounting period in the form of outflows or depletions of assets or incurrence of liabilities that result in decrease in equity other than those relating to distributions to equity participants.

Question 2

With regard to financial statements name any four Users.

Answer

Users are Investors, Employees, Lenders, Supplies/Creditors, Customers, Government & Public.

Question 3

What are the qualitative characteristics of the financial statements which improve the usefulness of the information furnished therein?

Answer

The qualitative characteristics are attributes that **improve the usefulness** of information provided in financial statements. Financial statements are required to **show a true and fair view** of the performance, financial position and cash flows of an enterprise. Framework suggests that the financial statements should maintain the following four qualitative characteristics to improve the usefulness of the information furnished therein:

(i) **Understandability:** The financial statements should present information in a manner as to be readily understandable by users with reasonable knowledge of business, economic activities and accounting.

(ii) **Relevance:** The financial statements should contain relevant information only. Information, which is

likely to influence the economic decisions by the users, is said to be relevant. Such information may help the users to evaluate past, present or future events or may help in confirming or correcting past evaluations. The relevance of a piece of information should be judged by its materiality. A piece of information is said to be material if its misstatement can influence economic decisions of a user.

(iii) **Reliability:** To be useful, information must be reliable; that is, they must be free from material error and bias. The information provided are not likely to be reliable unless transactions and events reported are faithfully represented. The reporting of transactions and events should be neutral, i.e. free from bias and reported on principle of 'substance over form'. The information in financial statements must be complete. Prudence should be exercised in reporting uncertain outcome of transactions or events.

(iv) **Comparability:** Comparison of financial statements is one of the most frequently used and most effective tools of financial analysis. The financial statements should permit both inter-firm and intra-firm comparison. One essential requirement of comparability is disclosure of financial effect of change in accounting policies.

Question 4

"One of the characteristics of financial statements is neutrality". Do you agree with this statement?

Answer

Yes, one of the **characteristics** of financial statements is **neutrality**. To be reliable, the information contained in financial statement must be neutral, that is free from bias. Financial Statements are not neutral if by the selection or presentation of information, the focus of analysis could shift from one area of business to another thereby arriving at a totally different conclusion on the business results.

Question 5

What is meant by 'Measurement'? What are the bases of measurement of Elements of Financial Statements? Explain the brief.

OR

Explain in brief, the alternative measurement bases, for determining the value at which an element can be recognized in the Balance Sheet or Statement of Profit and Loss.

Answer

Measurement is the process of determining money value at which an element can be recognized in the balance sheet or statement of profit and loss. The Framework for Preparation and Presentation of Financial statements recognizes four alternative measurement bases for the purpose of determining the value at which an element can be recognized in the balance sheet or statement of profit and loss. These bases are

(i) **Historical Cost:** Historical cost means acquisition price. According to this, assets are recorded at an amount of cash or cash equivalent paid or the fair value of the asset at the time of acquisition. Liabilities are generally recorded at the amount of proceeds received in exchange for the obligation.

(ii) **Current Cost:** Current cost gives an alternative measurement basis. Assets are carried out at the amount of cash or cash equivalent that would have to be paid if the same or an equivalent asset was acquired currently. Liabilities are carried at the undiscounted amount of cash or cash equivalents that would be required to settle the obligation currently.

(iii) Realizable (Settlement) Value: As per realizable value, assets are carried at the amount of cash or cash equivalents that could currently be obtained by selling the assets in an orderly disposal. Liabilities are carried at their settlement values, i.e. the undiscounted amount of cash or cash equivalents paid to satisfy the liabilities in the normal course of business.

(iv) Present Value: Under present value convention, assets are carried at present value of future net cash flows generated by the concerned assets in the normal course of business. Liabilities under this convention are carried at present value of future net cash flows that are expected to be required to settle the liability in the normal course of business.

Accounting Equation

Question 6

Opening Balance Sheet of Mr. A is showing the aggregate value of assets, liabilities and equity ₹ 8 lakh, ₹ 3 lakh and ₹ 5 lakh respectively. During accounting period, Mr. A has the following transactions:

(1) Earned 10% dividend on 2,000 equity shares held of ₹ 100 each

(2) Paid ₹ 50,000 to creditors for settlement of ₹ 70,000

(3) Rent of the premises is outstanding ₹ 10,000

(4) Mr. A withdrew ₹ 9,000 for his personal use.

You are required to show the effect of above transactions on Balance Sheet in the form of Assets – Liabilities = Equity after each transaction.

Answer

Effects of each transaction on Balance sheet of the trader is shown below: **₹ lakh**

Transactions	Assets	–	Liabilities	=	Equity
Opening	8.00	–	3.00	=	5.00
Dividend earned	8.20	–	3.00	=	5.20
Settlement of Creditors	7.70	–	2.30	=	5.40
Rent Outstanding	7.70	–	2.40	=	5.30
Drawings	7.61	–	2.40	=	5.21

Question 7

As on 1st April, 20X1 opening Balance Sheet of Mr. Mohanty is showing the aggregate value of Assets, Liabilities and Equity ₹ 12 Lakhs, 3 Lakhs and 9 lakhs respectively.

During the accounting period 01.04.20X1 to 31.03.20X2, Mr. Mohanty has the following transactions:

(1) A liability of ₹ 50,000 was finally settled at a discount of 2%.

(2) Dividend earned @ 15% on 1,000 (Face Value 100 each) Equity shares held @ ₹ 12,000.

(3) Rent of the premises paid ₹ 20,000.

(4) Mr. Mohanty withdrew ₹ 10,000 for personal purposes and also withdrew Goods worth ₹ 5,000 for personal purposes.

(5) ₹ 15,000 were received against Bill Receivables.

You are required to show the effect of the above transactions on Balance Sheet in the form of Assets – Liabilities = Equity equation after each transaction.

Answer

Effects of each transaction on Balance sheet of the trader is shown below: **₹ lakh**

Transactions	Assets	–	Liabilities	=	Equity
Opening	12	–	3	=	9
Settlement of Creditors	(12 – 0.49) = 11.51	–	(3 – 0.50) = 2.5	=	(9.0 + 0.01) = 9.01
Dividend earned	(11.51 + 0.15) = 11.66	–	2.5	=	(9.01 + 0.15) = 9.16
Rent paid	(11.66 – 0.20) = 11.46	–	2.5	=	(9.16 – 0.20) = 8.96
Drawings	(11.46 – 0.15) = 11.31	–	2.5	=	(8.96 – 0.15) = 8.81
Money received against B/R	(11.31 + 0.15 – 0.15) = 11.31	–	2.5	=	8.81

Note: No change as cash received from bills receivable will have impact on individual asset only (will reduce bill receivables with corresponding increase in cash).

Preparation of Financial Statements if Entity is not a Going Concern

Question 8

Given below is the Balance Sheet of Sky and Associates as on 31st March, 20X2:

Liabilities	Amount (₹)	Assets	Amount (₹)
Capital	1,60,000	Machinery	1,80,000
Profit and Loss A/c	93,000	Stock	1,15,000
8% Loan	40,000	Trade Receivables	75,000
Trade Payables	66,000	Deferred Expenditure	9,000
Bank Overdraft	20,000		
	3,79,000		**3,79,000**

Additional Information:

(1) The firm is planning to shut down its business with immediate effect from 1st April, 20X3.

(2) The sale and purchase of the firm for the year 20X2-X3 amounts to ₹ 8,20,000 and ₹ 6,50,000 respectively.

(3) The value of Closing Stock as on 31-3-20X3 was ₹ 65,000. The net realizable value is estimated at 120% of cost.

(4) Other expenses for the period amount to ₹ 25,000.

(5) Deferred expenditure is getting amortized over 5 years starting form 31-3-20X2.

(6) The remaining life of Machinery is expected to be 3 years. The realizable value of Machine is expected at ₹ 1,65,000, an expense of ₹ 5,000 is to be incurred to realize the same.

(7) Out of trade receivables, ₹ 5,000 is expected to be unrealizable due to an ongoing dispute.

(8) Bank has charged a penalty of ₹ 2,500 for crossing the overdraft limit.

(9) The lender has agreed to forgo 50% of interest charge for the year.

(10) The firm is expecting a discount of ₹ 4,000 from creditors at the time of full and final settlement.

You are required to prepare a Profit & Loss A/c for the year ended 31st March, 20X3 to ascertain its Profit/Loss for the period.

Answer

Profit and Loss Account of Sky & Associate for the year ended 31st March, 20X3

Particulars	₹	Particulars	₹
To Opening Stock	1,15,000	By Sales	8,20,000
To Purchases	6,50,000	By Closing Stock	78,000
To Gross Profit	1,33,000		
	8,98,000		**8,98,000**
To Deferred Expense	9,000	By Gross Profit	1,33,000
To Other Expenses	25,000	By Discount	4,000
To Bad Debts	5,000		
To Penalty	2,500		
To Depre. (180 – 160)	20,000		
To Interest on loan	1,600		
To Net Profit	73,900		
	1,37,000		**1,37,000**

Question 9

Balance Sheet of Anurag Trading Co. on 31st March, 20X1 is given below:

Liabilities	Amount (₹)	Assets	Amount (₹)
Capital	50,000	Property, Plant and Equipment	69,000
Profit and Loss A/c	22,000	Stock in Trade	36,000
10% Loan	43,000	Trade Receivables	10,000
Trade Payables	18,000	Deferred Expenditure	15,000
		Bank	3,000
	1,33,000		**1,33,000**

Additional Information:

(i) Remaining life of Property, Plant and Equipment is 5 years with even use. The net realisable value of Property, Plant and Equipment as on 31st March, 20X2 was ₹ 64,000.

(ii) Firm's sales and purchases for the year 20X1-X2 amounted to ₹ 5 lacs and ₹ 4.50 lacs respectively.

(iii) The cost and net realisable value of the stock were ₹ 34,000 and ₹ 38,000 respectively.

(iv) General Expenses (including interest on Loan) for the year 20X1-X2 were ₹ 16,500.

(v) Deferred Expenditure is normally amortised equally over 4 years starting from F.Y. 20X0-X1 i.e. ₹ 5,000 per year.

(vi) Out of trade receivables worth ₹ 10,000, collection of ₹ 4,000 depends on successful re-design of certain

product already supplied to the customer.

(vii) Closing trade payable is ₹ 10,000, which is likely to be settled at 95%.

(viii) There is pre-payment penalty of ₹ 2,000 for Bank loan outstanding.

Prepare Profit & loss Account for the year ended 31st March, 20X2 by assuming it is not a Going Concern.

Answer

Profit and Loss Account of Anurag Trading Co. for the year ended 31st March, 20X2

(Assuming business is not a going concern)

	₹		₹
To Opening Stock	36,000	By Sales	5,00,000
To Purchases	4,50,000	By Trade payables	500
To General expenses	16,500	By Closing Stock	38,000
To Depreciation (69,000 – 64,000)	5,000		
To Provision for doubtful debts	4,000		
To Deferred expenditure	15,000		
To Loan penalty	2,000		
To Net Profit (b.f.)	10,000		
	5,38,500		**5,38,500**

Question 10

Balance sheet of a trader on 31st March, 20X1 is given below:

Liabilities	₹	**Assets**	₹
Capital	60,000	Property, Plant and Equipment	65,000
Profit and Loss Account	25,000	Stock	30,000
10% Loan	35,000	Trade receivables	20,000
Trade payables	10,000	Deferred expenditure	10,000
		Bank	5,000
	1,30,000		**1,30,000**

Additional information:

(a) The remaining life of Property, Plant and Equipment is 5 years. The pattern of use of the asset is even. The net realisable value of Property, Plant and Equipment on 31.03.X2 was ₹ 60,000.

(b) The trader's purchases and sales in 20X1-X2 amounted to ₹ 4 lakh and ₹ 4.5 lakh respectively.

(c) The cost and net realisable value of stock on 31.03.X2 were ₹ 32,000 and ₹ 40,000 respectively.

(d) Expenses (including interest on 10% Loan of ₹ 3,500 for the year) amounted to ₹ 14,900.

(e) Deferred expenditure is amortised equally over 4 years.

(f) Trade receivables on 31.03.X2 is ₹ 25,000, of which ₹ 2,000 is doubtful. Collection of another ₹ 4,000 depends on successful re-installation of certain product supplied to the customer.

(g) Closing trade payable is ₹ 12,000, which is likely to be settled at 5% discount.

(h) Cash balance on 31.03.X2 is ₹ 37,100.

(i) There is an early repayment penalty for the loan ₹ 2,500.

You are required to prepare Profit and Loss Accounts and Balance Sheets of the trader in both cases:

(i) assuming going concern

(ii) not assuming going concern

Answer

Profit and Loss Account for the year ended 31st March, 20X2

	Case (i) (₹)	Case (ii) (₹)		Case (i) (₹)	Case (ii) (₹)
To Opening stock	30,000	30,000	By Sales	4,50,000	4,50,000
To Purchases	4,00,000	4,00,000	By Closing stock	32,000	40,000
To Expenses	14,900	14,900	By Trade payables	–	600
To Depreciation	13,000	5,000			
To Provision for doubtful debts	2,000	6,000			
To Deferred expenditure	2,500	10,000			
To Loan penalty	–	2,500			
To Net Profit (B/F)	19,600	22,200			
	4,82,000	**4,90,600**		**4,82,000**	**4,90,600**

Balance Sheet as at 31st March, 20X2

Liabilities	Case (i) (₹)	Case (ii) (₹)	Assets	Case (i) (₹)	Case (ii) (₹)
Capital	60,000	60,000	Property, Plant and Equipment	52,000	60,000
Profit & Loss A/c	44,600	47,200	Stock	32,000	40,000
10% Loan	35,000	37,500	Trade receivables (less provision)	23,000	19,000
Trade payables	12,000	11,400	Deferred expenditure	7,500	Nil
			Bank	37,100	37,100
	1,51,600	**1,56,100**		**1,51,600**	**1,56,100**

Capital Maintenance

Question 11

Mohan started a business on 1st April 20X1 with ₹ 12,00,000 represented by 60,000 units of ₹ 20 each. During the financial year ending on 31st March, 20X2, he sold the entire stock for ₹ 30 each. In order to maintain the capital intact, calculate the maximum amount, which can be withdrawn by Mohan in the year 20X1-X2, if Financial Capital is maintained at historical cost.

Answer

Financial Capital Maintenance at Historical Cost	₹
Closing equity represented by cash (60,000 units x ₹ 30)	18,00,000
Less: Opening equity (60,000 units x ₹ 20)	(12,00,000)
Permissible drawings to keep capital intact	6,00,000

Question 12

Mille started a business on 01.04.20X2 with a capital of ₹ 15,00,000. She purchased 1,500 units of stock at ₹ 1,000 each. She sold the entire stock for ₹ 1,500 each unit till 31.03.20X3.

You are required to calculate the maximum amount which can be withdrawn by Mille in order to keep her capital intact, if Financial Capital is maintained at:

(i) Historical Cost

(ii) Current Purchasing Power (Opening index at 100 and closing index at 125)

(iii) Physical Capital Maintenance (Price per unit at the end of year is ₹ 1,350)

Answer

(i) Financial Capital Maintenance at historical Costs

Particulars	**₹**
Opening Equity (1,500 x 1,000)	15,00,000
Less: Closing Equity (1,500 x 1,500)	(22,50,000)
Maximum Drawing	**7,50,000**

(ii) Financial Capital Maintenance at current purchasing power

Particulars	**₹**
Opening Equity [(1,500 x 1,000) x 125/100]	18,75,000
Less: Closing Equity (1,500 x 1,500)	(22,50,000)
Maximum Drawing	**3,75,000**

(iii) Financial Capital Maintenance at Physical Capital Maintenance

Particulars	**₹**
Opening Equity (1,500 x 1,350)	20,25,000
Less: Closing Equity (1,500 x 1,500)	(22,50,000)
Maximum Drawing	**2,25,000**

CHAPTER - 3
AS 1: Disclosure of Accounting Policies

Accounting Policies

Question 1

Give examples of areas where accounting policies adopted could be different for different enterprises. Would there be any adverse impact due to adoption of different policies, and if yes, how does Accounting Standard 1 seek to address such issue?

Answer

There are various areas where different accounting policies could be adopted by different entities within the same industry. An entity may choose to value its **inventories** using **FIFO method**, whereas another entity may choose to value the same using **Weighted Average method**.

While an entity is **free to choose its accounting policy** as long as in the financial statements **reflect a true and fair view** of the state of affairs of the enterprise as at the balance sheet date and of the profit or loss for the period ended, the application of **different accounting policies** by different entities **affects** the **comparability** of the financial statements of such different entities by stakeholders, analysts, investors etc.

To mitigate the loss of comparability, AS 1, "Disclosure of Accounting Policies" requires **disclosure** of significant accounting policies as a part of the financial statements. This **would help users** of the financial statements to **understand the policies followed by different entities**, particularly if they belong to the same industry, and make a correct analysis of each entity resulting in more informed decision-making.

Question 2

Has Accounting Standard 1 prescribed the manner in which the accounting policies followed by the entity should be disclosed?

Answer

Paras 18-20 of **Accounting Standard 1**, Disclosure of Accounting Policies, lay down the manner in which accounting policies have to be disclosed, which is stated as under:

- To ensure proper understanding of financial statements, it is necessary that **all significant accounting policies adopted** in the preparation and presentation of financial statements **should be disclosed**.
- Such disclosure should form **part of the financial statements**.
- All the **disclosures** should be made **at one place** instead of being scattered over several statements, schedules and notes.

Question 3

In the books of M/s Prashant Ltd., closing inventory as at 31.03.20X2 amounts to ₹ 1,63,000 (on the basis of FIFO method).

The company decides to change from FIFO method to weighted average method for ascertaining the cost of inventory from the year 20X1-X2. On the basis of weighted average method, closing inventory as on 31.03.20X2 amounts to ₹ 1,47,000. Realisable value of the inventory as on 31.03.20X2 amounts to ₹ 1,95,000.

Discuss disclosure requirement of change in accounting policy as per AS 1.

Answer

As per **AS 1**"Disclosure of Accounting Policies", any **change** in an accounting policy which has a **material effect should be disclosed** in the financial statements. **The amount** by which any item in the financial statements is **affected** by such change should also be **disclosed to the extent ascertainable**. Where such amount is **not ascertainable**, wholly or in part, the **fact should be indicated**. Thus, Prashant Ltd. **should disclose** the change in valuation method of inventory and its effect on financial statements. The company may disclose the change in accounting policy in the **following manner**:

'The company **values** its inventory at **lower of cost and net realizable value**. Since net realizable value of all items of inventory in the current year was greater than respective costs, the company valued its inventory at cost. In the present year i.e. 20X1-X2, the company has **changed to weighted average method**, which better reflects the consumption pattern of inventory, for ascertaining inventory costs from **earlier** practice of using **FIFO for the purpose**. The change in policy has **reduced current profit** and value of inventory by ₹ 16,000.

Question 4

Jagannath Ltd. had made a rights issue of shares in 20X2. In the offer document to its members, it had projected a surplus of ₹ 40 crores during the accounting year to end on 31st March, 20X2. The draft results for the year, prepared on hitherto followed accounting policies and presented for perusal of board of directors showed a deficit of ₹ 10 crores. The board in consultation with managing director, decided on the following:

(i) Value year-end inventory at works cost (₹ 50 crores) instead of the hitherto method of valuation of inventory at prime cost (₹ 30 crores).

(ii) Provide for permanent diminution in the value of investments, which had taken place over the past 5 years, the amount of provision being ₹ 10 crores.

As chief accountant of the company, you are asked by the managing director to draft the notes on accounts for inclusion in the annual report for 20X1-20X2.

Answer

As per **AS 1,** any **change** in the accounting policies which has a **material effect** in the current period or which is reasonably expected to have a material effect in later periods should be **disclosed**. In the case of a change in accounting policies which has a **material effect** in the current period, the amount by which any item in the financial statements is affected by such change should also be **disclosed to the extent ascertainable**. Where such amount is **not ascertainable**, wholly or in part, the **fact should be indicated**. Accordingly, the notes on accounts **should properly disclose** the change and its effect.

Notes on Accounts:

(i) During the year, inventory has been **valued at factory cost**, against the practice of **valuing it at prime cost** as was the practice till **last year**. This has been done to take cognizance of more capital-intensive method of production on account of heavy capital expenditure during the year. As result of **this change**, year-end inventory has been **valued at ₹ 50 crores** and **profit** for year has **increased by ₹ 20 crores**.

(ii) The company has **decided to provide ₹ 10 crores for the permanent diminution** in the value of investments which has taken place over the period of past 5 years. The provision so made has **reduced the profit disclosed in the accounts by ₹ 10 crores**.

Question 5

ABC Ltd. was making provision for non-moving stocks based on issues for last 12 months up to 31.3.20X1.

The company wants to provide during the year ending 31.3.20X2 based on technical evaluation:

Total value of inventory	₹ 100 lakhs
Provision required based on 12 months issue	₹ 3.5 lakhs
Provision required based on technical evaluation	₹ 2.5 lakhs

Does this amount to change in accounting policy? Can the company change the method of provision? Discuss disclosure requirement of change in accounting policy as per AS 1.

Answer

Accounting policy of a company **may require** that **provision for non-moving inventories should be made**. The **method** of estimating amount of **provision may be changed** in case more prudent estimate can be made.

The decision of making provision for non-moving inventories on the basis of technical evaluation **does not amount to change in accounting policy**.

In the above case, considering the total value of inventory, the change in the amount of required provision of non-moving inventory from ₹ 3.5 lakhs to ₹ 2.5 lakhs is also not material.

The **disclosure** can be made for **such change** in the following lines **by way of notes** to the accounts in the annual accounts of ABC Ltd. for the year 20X1-X2:

"The company has provided for non-moving inventories on the basis of technical evaluation unlike preceding years. **Had the same method been followed as in the previous year**, the **profit** for the year and the corresponding effect on the year-end net assets would have been **lower by ₹ 1 lakh**."

Question 6

Lion Ltd., engaged in manufacturing and construction contracts, prepares its financial statements for the year ended 31st March 20X1. The company follows historical cost for fixed assets, FIFO for inventory valuation, and percentage of completion method for revenue recognition in construction contracts. During the year, the management changes:

- The inventory valuation method from FIFO to Weighted Average due to volatility in raw material prices.
- The depreciation method from Straight Line Method (SLM) to Written Down Value (WDV) citing better reflection of asset usage.

The company discloses the change in inventory method in notes, but does not disclose the change in depreciation method, stating that it is not material.

Additionally, the company has not disclosed its accounting policy on recognition of government grants, though it has received a significant subsidy this year.

You are required to:

(a) Identify and explain violations (if any) of AS 1 in the above case.

(b) Critically evaluate whether "materiality" can be used as a justification for non-disclosure of a change in accounting policy.

(c) Justify, would the change from FIFO to Weighted Average be treated as a change in accounting estimate or accounting policy under AS 1?

Answer

As per AS 1 "Disclosure of Accounting Policies", the following requirements are relevant:

- All significant accounting policies adopted in the preparation and presentation of financial statements should be disclosed.
- Any change in an accounting policy which has a material effect should be disclosed along with the nature and reasons for such change.
- If the effect of such change is not ascertainable wholly or in part, the fact should be indicated.

Application to Lion Ltd.:

(a) 1. **Change** in Inventory Valuation Method **(FIFO to Weighted Average)**: This is a **change in accounting policy**. The **company has disclosed** the change in the notes to accounts along with justification, which is **in line with the disclosure requirements** of AS 1, provided the impact of the change is also disclosed or indicated as unascertainable if applicable.

2. **Change** in Depreciation Method **(SLM to WDV)**: As per AS 10 (Revised), a change in the method of depreciation is considered a **change in accounting estimate**. However, AS 1 also requires disclosure of material items affecting financial statements. Depreciation **affects** key financial figures such as profit, asset value, and return ratios. Even if the change is classified as an estimate, if it has a material effect, **disclosure is warranted**. The company's decision **not to disclose** the change on the grounds of immateriality may **not be appropriate** unless supported by clear quantitative evidence.

3. Non-Disclosure of Accounting Policy for Government Grants: Lion Ltd. has received a significant subsidy during the year but has not disclosed its accounting policy for government grants. As per AS 1, all significant accounting policies, including those for government grants, **should be disclosed**. Hence, **non-disclosure amounts to a violation of AS 1**.

(b) Evaluation of "Materiality" as Justification for Non-Disclosure

AS 1 emphasizes that accounting policies that are significant and changes that **materially affect** the financial statements should be **disclosed**.

- **Materiality** is assessed in terms of the potential of an item or change to **influence** economic **decisions of users**.
- **Change in the method of depreciation affects** not only profit and loss but also asset values and tax liabilities. Thus, even if the quantitative impact appears small, its qualitative impact (e.g., on comparability and trend analysis) **may be significant**.
- Therefore, the company's reliance on "materiality" as a justification for **non-disclosure is not valid** unless there is concrete evidence showing the impact is indeed immaterial both quantitatively and qualitatively.

(c) Nature of Change from FIFO to Weighted Average

The change from **FIFO to Weighted Average** should be treated as a **change in accounting policy** and **not** a **change in accounting estimate** under AS 1, and its nature and financial **impact** should be properly **disclosed** in the financial statements.

Fundamental Accounting Assumptions

Question 7

What are the three fundamental accounting assumptions recognised by Accounting Standard (AS) 1?

Answer

Accounting Standard (AS) 1 recognises three fundamental accounting assumptions. These are:

(i) Going Concern

(ii) Consistency

(iii) Accrual basis of accounting

Question 8

What do you mean by 'Accrual' in reference to AS 1? Also, specify any three reasons for 'Accrual Basis of Accounting'.

Answer

The term **"Accrual"** has been explained in the **AS 1** on Disclosure of Accounting Policies, as "**Revenues and costs** are accrued, that is, **recognised as they are earned or incurred** (and not as money is received or paid) and recorded in the financial statements of the periods to which they relate"

Reasons for Accrual Basis of Accounting

(i) Accrual basis of accounting, attempts to **record** the financial effects of the transactions, events, and circumstances of an enterprises **in the period in which they occur rather than recording** them in the period(s) in which **cash is received or paid** by the enterprise.

(ii) Receipts and payments of the period will not coincide with the buying, producing or selling events and other economic events that affect entity performance.

(iii) The **goal** of Accrual basis of accounting is to **follow the matching concept** of income and expenditure so that reported net income measures an enterprise's performance during a period instead of merely listing its cash receipts and payments.

(iv) Accrual basis of accounting recognizes assets, liabilities or components of revenues and expenses for amounts received or paid in cash in past, and amounts expected to be received or paid in cash in future.

(v) Important point of difference between accrual and accounting based on cash receipts and outlay is in timing of recognition of revenues, expenses, gains and losses.

Question 9

XYZ Company is engaged in the business of financial services and is undergoing tight liquidity position, since most of the assets of the company are blocked in various claims/petitions in a Special Court. XYZ has accepted Inter-Corporate Deposits (ICDs) and it is making its best efforts to settle the dues. There were claims at varied rates of interest, from lenders, from the due date of ICDs to the date of repayment. The company has provided interest, as per the terms of the contract till the due date and a note for non-provision of interest on the due date to date of repayment was affected in the financial statements. On account of uncertainties existing regarding the determination of the amount and in the absence of any specific legal obligation at present as per

the terms of contracts, the company considers that these claims are in the nature of "claims against the company not acknowledged as debt", and the same has been disclosed by way of a note in the accounts instead of making a provision in the statement of profit and loss. State whether the treatment done by the Company is correct or not.

Answer

AS 1 'Disclosure of Accounting Policies' recognises **'prudence'** as one of the **major considerations** governing the **selection** and application of **accounting policies**. In view of the uncertainty attached to future events, **profit**s are not anticipated but **recognised** only **when realised** though not necessarily in cash. **Provision** is made for all **known liabilities** and losses even though the amount cannot be determined with certainty and represents only a best estimate in the light of available information.

Also, as per AS 1, **'accrual'** is one of the **fundamental accounting assumptions**. Irrespective of the terms of the contract, so long as the principal amount of a loan is not repaid, the lender cannot be replaced in a disadvantageous position for non-payment of interest in respect of overdue amount. From the aforesaid, it is apparent that the company **has an obligation** on account of the **overdue interest**. In this situation, the company **should provide for the liability** (since it is not waived by the lenders) at an amount estimated or on reasonable basis based on facts and circumstances of each case. However, in respect of the overdue interest amounts, which are settled, the liability should be accrued to the extent of amounts settled. **Non-provision of the overdue interest** liability amounts to **violation of accrual basis of accounting**. Therefore, the **treatment**, done **by company**, of not providing the interest amount from due date to the date of repayment is **not correct**.

Mixed Topics

Question 10

State whether the following statements are 'True' or 'False'. Also give reason for your answer.

(i) Certain fundamental accounting assumptions underline the preparation and presentation of financial statements. They are usually specifically stated because their acceptance and use are not assumed.

(ii) If fundamental accounting assumptions are not followed in presentation and preparation of financial statements, a specific disclosure is not required.

(iii) All significant accounting policies adopted in the preparation and presentation of financial statements should form part of the financial statements.

(iv) Any change in an accounting policy, which has a material effect should be disclosed. Where the amount by which any item in the financial statements is affected by such change is not ascertainable, wholly or in part, the fact need not to be indicated.

Answer

(i) **False**: As per AS 1 "Disclosure of Accounting Policies", certain fundamental accounting assumptions underlie the preparation and presentation of financial statements. They are usually not specifically stated because their acceptance and use are assumed. Disclosure is necessary if they are not followed.

(ii) **False**: As per AS 1, if the fundamental accounting assumptions, viz. Going Concern, Consistency and Accrual are followed in financial statements, specific disclosure is not required. If a fundamental accounting assumption is not followed, the fact should be disclosed.

(iii) **True**: To ensure proper understanding of financial statements, it is necessary that all significant accounting policies adopted in the preparation and presentation of financial statements should be disclosed. The disclosure of the significant accounting policies as such should form part of the financial statements and they should be disclosed in one place.

(iv) **False**: Any change in the accounting policies which has a material effect in the current period or which is reasonably expected to have a material effect in later periods should be disclosed. Where such amount is not ascertainable, wholly or in part, the fact should be indicated.

Question 11

You are required to comment on the following cases as per the provisions of Accounting Standard 1 'Disclosure of Accounting Policies':

(i) Bee Limited has not complied with AS 2 "Valuation of inventories" and the same is disclosed in the Notes on Accounts. Management is of the view that the financial statements give a true and fair view as non-compliance with AS 2 is disclosed.

(ii) Cee Limited sold its Office Building for ₹ 10,00,000 on 1st March, 20X3. The buyer has paid the full amount and taken possession of the building. The book value of the Office Building is ₹ 4,00,000. On 31st March, 20X3, documentation and legal formalities are pending. The company has not recorded the disposal and the amount received is shown as an advance.

(iii) Dee Limited has prepared its accounts on cash basis and the same is not disclosed.

(iv) Jee Limited disclosed significant accounting policies adopted in the preparation of financial statements, in the Directors' Report.

Answer

(i) As per AS 1, **disclosure** of accounting policies is **not a remedy for wrong** or inappropriate treatment in **accounting**. In the given case the financial statement does **not give a true and fair** view as they are **not in compliance** with AS 2.

(ii) Considering the substance over form as per **AS 1**, documentation and legal formalities represent the form of the transaction, although the legal title has not been transferred, the economic reality and substance are that the rights and beneficial interest in the Office **Building have been transferred**. Therefore, recording of acquisition/disposal (by the transferee and transferor respectively) would in substance represent the transaction entered into.

(iii) **Accrual** is a **fundamental accounting assumption**. If it is **not followed** by the company, the facts should be **disclosed** under **AS 1**. Hence the company **should disclose** the fact that the cash basis of accounting has been followed in the notes on accounts.

(iv) The practice followed by the company is **not correct**. It **should be disclosed as part of financial statements** (The director's report is not part of financial statements).

Question 12

Discuss Disclosure requirements in following cases as per AS 1.

(i) Accountant of A Ltd. charges a probable loss of losing a suit in books of accounts and also disclosed the same fact in financial statements. The probability of losing the suit is 25%.

(ii) Accountant of A Ltd. capitalized all the revenue expenses of repair and maintenance during the year to Plant & Machinery and is also disclosing the same as company policy in financial statements.

(iii) A Ltd. has followed accrual basis of accounting since incorporation. The chief accountant also disclosed this fact in financial statements.

(iv) A Ltd. was providing for after sales expenses @ 2% of sales for covering expenses during the warranty period. Now, A Ltd. observes that actual after sales expenses were much less as compared to provision because of better technology used in manufacturing of the products. Now, the Board of A Ltd. decides to account for these expenses as and when they occur. Sales during the period are ₹ 50 crores.

Answer

(i) In this case, accountant of company created a provision for damages of probability of losing a suit by a charge against profits. Unless the probability of losing the suit is more than probability of not losing it, there should not be any creation of provision for such probable losses. So, there is **no need to charge** such loss against profit and disclosing the same in financial statements.

(ii) **Repairs** and maintenance are **revenue expenditure** and should **not be added to the value of assets**, as these expenses do not increase the capacity of asset. Hence, such expenses **should be charged to profit & loss statement**.

Further the chief accountant also disclosed its policy of adding repairs to value of assets by way of notes to accounts. As per **AS 1**, **disclosure is not a method to correct the wrong treatments**. So, the **contention** of chief accountant is **wrong**.

(iii) **Accrual** is one of the **Fundamental** accounting assumptions. If fundamental accounting assumptions are **followed properly** then **no specific disclosure is required**. **Disclosure** is **required** only when there is deviation and the company is **not following fundamental** accounting assumptions. So, the company **need not disclose** this in financial statements.

(iv) As per **AS 1,** any **change** in the **accounting policies** which has a **material effect** in the current period or which is reasonably expected to have a material effect in later periods **should be disclosed**. Accordingly, the notes on accounts should properly disclose the change and its effect. The note of change in policy shall be given in following manner:

"So far, the company has been providing 2% of sales for meeting after sales expenses during the warranty period. Now, the company has improved the quality of its products with better technology and has been observing that actual expenses are very less than the provision, Hence, the company has decided not to make provision for such expenses but to account for the same as and when expenses are incurred. Due to this change, the profit for the year is increased by ₹ 1 crore than would have been the case if the old policy were to continue."

CHAPTER - 4
AS 2: Valuation of Inventory

Meaning of Inventory

Question 1

Alpha Ltd. sells flavored milk to customers; some of the customers consume the milk in the shop run by Alpha Limited. While leaving the shop, the consumers leave the empty bottles in the shop and the company takes possession of these empty bottles. The company has laid down a detailed internal record procedure for accounting for these empty bottles which are sold by the company by calling for tenders.

Decide whether the inventory of empty bottles is an asset of the company; If so, whether inventory of empty bottles existing as on date of Balance Sheet is to be considered as inventories of the company and valued as per AS 2 or to be treated as scrap and shown at realizable value with corresponding credit to 'Other Income'?

Answer

As per the 'Framework on Presentation and Preparation of Financial Statements': Tangible objects or intangible rights carrying **probable future benefits**, owned by enterprise are called **assets**.

Alpha Ltd. sells these empty bottles by calling tenders. It means further benefits are accrued on its sale. Therefore, **empty bottles are assets** for the company.

As per **AS 2, inventories are assets held for sale** in the ordinary course of business.

Inventory of empty bottles existing on the Balance Sheet date is the inventory and Alpha Ltd. has detailed controlled recording and accounting procedure which duly signify its materiality. Thus, inventory of **empty bottles** cannot be considered as scrap and **should be valued as inventory in accordance with AS 2**.

Cost of Inventory

Question 2

You are required to value the inventory per kg of finished goods consisting of:

	₹ per kg.
Material cost	200
Direct labour	40
Direct variable overhead	20

Fixed production charges for the year on normal working capacity of 2 lakh kgs is ₹ 20 lakhs. 4,000 kgs of finished goods are in stock at the year end.

Answer

In accordance with AS 2 (Revised), cost of conversion includes a systematic allocation of fixed and variable overheads that are incurred in converting materials into finished goods. The allocation of fixed overheads for the purpose of their inclusion in the cost of conversion is based on normal capacity of production facilities.

Cost per kg. of finished goods:

		₹
Material Cost		200

Direct Labour	40	
Direct Variable Production Overhead	20	
Fixed Production Overhead (₹ 20,00,000/2,00,000 kg.)	10	70
		270

Hence the value of 4,000 kgs. of finished goods = 4,000 kgs x ₹ 270 = ₹ 10,80,000

Question 3

Kirti Ltd. is in the business of manufacturing computers. During the year ended 31st March, 20X1, the company manufactured 550 computers. It has the policy of valuing finished stock of goods at a standard cost of ₹ 1.8 lakh per computer. The details of the costs are as under:

	(₹ in lakh)
Raw material consumed	400
Direct Labour	250
Variable production overheads	150
Fixed production overheads (including interest of ₹ 100 lakh)	290

Compute the value cost per computer for the purpose of closing stock.

Answer

As per para 9 of AS 2 'Valuation of Inventories', for inclusion in the cost of inventory, allocation of fixed production overheads is based on the normal capacity of the production facilities.

In this, case finished stock has been valued at a standard cost of ₹ 1.8 lakh per computer which incidentally synchronizes with the value computed on the basis of absorption costing as under:

		(₹ in lakh)
Materials		400
Direct Labour		250
Variable production overheads		150
Fixed production overheads	290	
Less: Interest	(100)	190
Total cost		**990**

Number of computers produced = 550 computers (Assumed to be normal production)

Cost per computer ₹ 990 lakh/550 computers = ₹ 1.80 lakh

Question 4

In a production process, normal waste is 5% of input. 5,000 MT of input were put in process resulting in wastage of 300 MT. Cost per MT of input is ₹ 1,000. The entire quantity of output is on stock at the year end. State with reference to Accounting Standard, how will you value the inventories in this case and also find out the amount of abnormal loss, if any?

Answer

As per AS 2 (Revised), abnormal amount of wasted materials, labour and other production costs are excluded from cost of inventories and such costs are recognised as expenses in the period in which they are incurred.

In this case, normal waste is 250 MT and abnormal waste is 50 MT. The cost of 250 MT will be included in determining the cost of inventories (finished goods) at the year end.

Cost per MT (Normal Quantity of 4,750 MT) = ₹ 50,00,000/4,750 = ₹ 1,052.6315

Total value of inventory = 4,700 MT x ₹ 1,052.6315 = ₹ 49,47,368

The cost of abnormal waste = ₹ 52,632 (50 MT x ₹ 1,052.6315) will be charged to the profit and loss statement.

Question 5

An enterprise ordered 20,000 KG of certain material at ₹ 110 per unit. The purchase price includes GST ₹ 12 per Kg., in respect of which full input tax credit (ITC) is admissible. Freight incurred amounted to ₹ 1,17,600. Normal transit loss is 2%. The enterprise actually received 19,500 Kg. and consumed 18,000 Kg. of material.

(i) You are required to calculate cost of material per Kg.

(ii) Allocation of material cost.

Answer

(i) Calculation of Normal cost per Kg.

		₹
Purchase price (20,000 Kg. x ₹ 110)		22,00,000
Less: Input Tax Credit (20,000 Kg. x ₹ 12)		(2,40,000)
		19,60,000
Add: Freight		1,17,600
Total material cost	(A)	20,77,600
Number of units normally received = 98% of 20,000 Kg.	(B)	19,600 Kg.
Normal cost per Kg.	**(A/B)**	**106**

(ii) Allocation of material cost

	Kg.	₹/Kg.	₹
Materials consumed	18,000	106	19,08,000
Cost of inventory	1,500	106	1,59,000
Abnormal loss	100	106	10,600
Total material cost	**19,600**	**106**	**20,77,600**

Note: Abnormal losses are recognized as separate expense.

Question 6

SM Enterprises is a leading distributor of petrol. A detailed inventory of petrol in hand is taken when books are closed at the end of each month. For the month ending on June 20X1, following information is available:

(i) Sales for the month of June 20X1 was ₹ 30,40,000.

(ii) General overheads cost: ₹ 4,00,000

(iii) Inventory at beginning: 10,000 litres @ ₹ 92 per litre

(iv) Purchases:

June 1, 20X1 – 20,000 litres @ ₹ 90 per litre

June 30, 20X1 – 10,000 litres @ ₹ 95 per litre

(v) Closing inventory: 13,000 litres

You are required to compute the following by FIFO method as per AS 2

(i) Value of Inventory on 30th June, 20X1

(ii) Amount of cost of goods sold for June, 20X1

(iii) Profit/Loss for the month of June, 20X1

Answer

(i) Value of Inventory

Particulars	**Amount (₹)**
Cost of closing inventory for 13,000 litres as on 30th June 20X1:	
10,000 litres @ ₹ 95	9,50,000
3,000 litres @ ₹ 90	2,70,000
	12,20,000

(ii) Calculation of cost of goods sold

Particulars	**Amount (₹)**
Opening inventories (10,000 litres @ ₹ 92)	9,20,000
Purchases: 1st June (20,000 litres @ ₹ 90)	18,00,000
30th June (10,000 litres @ ₹ 95)	9,50,000
	36,70,000
Less: Closing inventories	(12,20,000)
	24,50,000

(iii) Calculation of Profit

Particulars		**Amount (₹)**
Sales (Given)	(A)	30,40,000
Cost of Goods Sold		24,50,000
Add: General Overheads		4,00,000
Total Cost	(B)	28,50,000
Profit	**(A – B)**	**1,90,000**

Question 7

"In determining the cost of inventories, it is appropriate to exclude certain costs and recognise them as expenses in the period in which they are incurred". Provide examples of such costs as per AS 2 (Revised) 'Valuation of Inventories'.

Answer

As per AS 2 (Revised) 'Valuation of Inventories', certain costs are excluded from the cost of the inventories and are recognised as expenses in the period in which incurred. Examples of such costs are:

(a) **Abnormal amount** of wasted materials, labour, or other production costs;

(b) **Storage costs**, unless those costs are necessary in production process prior to further production stage;

(c) **Administrative overheads** that do not contribute to bringing the inventories to their present location and condition; and

(d) **Selling and distribution costs**.

Valuation of Inventory

Question 8

X Co. Limited purchased goods at the cost of ₹ 40 lakhs in October, 20X1. Till March, 20X2, 75% of the stocks were sold. The company wants to disclose closing stock at ₹ 10 lakhs. The expected sale value is ₹ 11 lakhs and a commission at 10% on sale is payable to the agent. Advise, what is the correct closing stock to be disclosed as at 31.3.20X2.

Answer

As per AS 2 (Revised) "Valuation of Inventories", the inventories are to be valued at lower of cost or net realisable value.

In this case, the cost of inventory is ₹ 10 lakhs. The net realisable value is 11,00,000 x 90% = ₹ 9,90,000

So, the stock should be valued at ₹ 9,90,000.

Question 9

The inventory of Rich Ltd. as on 31st March, 20X1 comprises of Product A: 200 units and Product B: 800 units.

Details of cost for these products are:

Product A:

Material cost, wages cost and overhead cost of each unit are ₹ 40, ₹ 30 and ₹ 20 respectively, each unit is sold at ₹ 110, selling expenses amounts to 10% of selling costs.

Product B:

Material cost and wages cost of each unit are ₹ 45 and ₹ 35 respectively and normal selling rate is ₹ 150 each, however due to defect in the manufacturing process 800 units of Product-B were expected to be sold at ₹ 70.

You are requested to value closing inventory according to AS 2 after considering the above.

Answer

According to AS 2 'Valuation of Inventories', inventories should be valued at the lower of cost and net realizable value.

Product A

Particulars	Amount (₹)

Material cost (₹ 40 x 200)	8,000
Wages cost (₹ 30 x 200)	6,000
Overhead (₹ 20 x 200)	4,000
Total cost	18,000
Realizable value [200 x (110 – 11)]	19,800
Hence, inventory value of Product A	**18,000**

Product B

Particulars	**Amount (₹)**
Material cost (₹ 45 x 800)	36,000
Wages cost (₹ 35 x 800)	28,000
Total cost	64,000
Realizable value (800 x 70)	56,000
Hence, inventory value of Product B	**56,000**

Total value of closing inventory i.e. Product A + Product B (₹ 18,000 + ₹ 56,000) = ₹ 74,000

Question 10

The company deals in three products, A, B and C, which are neither similar nor interchangeable. At the time of closing of its account for the year 20X1-X2, the Historical Cost and Net Realisable Value of the items of closing stock are determined as follows:

Items	Historical Cost (₹ in lakhs)	Net Realisable Value (₹ in lakhs)
A	40	28
B	32	32
C	16	24

What will be the value of closing stock?

Answer

As per **AS 2** (Revised) on 'Valuation of Inventories', inventories should be valued at the lower of cost and net realisable value. Inventories should be written down to net realisable value on an item-by-item basis in the given case. **(₹ in lakhs)**

Items	Historical Cost	Net Realisable Value	Valuation of Closing Stock
A	40	28	28
B	32	32	32
C	16	24	16
	88	**84**	**76**

Hence, closing stock will be valued at ₹ 76 lakhs.

Question 11

On the basis of information given below, find value of inventory as per AS 2, to be considered while preparing

the Balance Sheet as on 31st March, 20X1 on weighted Average Basis.

Details of Purchases:

Date of purchase	Unit (Nos.)	Purchase cost per unit (₹)
01.03.20X1	20	108
08.03.20X1	15	107
17.03.20X1	30	109
25.03.20X1	15	107

Details of issue of Inventory:

Date of Issue	Unit (Nos.)
03.03.20X1	10
12.03.20X1	20
18.03.20X1	10
24.03.20X1	20

Net realizable value of inventory as on 31st March, 20X1 is ₹ 107.75 per unit.

You are required to compute the value of Inventory as per AS 2?

Answer

Net Realisable Value of Inventory as on 31st March, 20X1 = ₹ 107.75 x 20 units = ₹ 2,155

Calculation of total units purchased and total cost:

Date of purchase	Total cost (₹)
01.03.20X1 (₹ 108 x 20 units)	2,160
08.03.20X1 (₹ 107 x 15 units)	1,605
17.03.20X1 (₹ 109 x 30 units)	3,270
25.03.20X1 (₹ 107 x 15 units)	1,605
Total (80 units)	**8,640**

Weighted Average Cost p.u. = ₹ 8,640/80 units = ₹ 108

Weighted Average Cost of Inventory = ₹ 108 x 20 units = ₹ 2,160

Value of inventory to be considered while preparing Balance Sheet as on 31st March, 20X1 is, Cost or Net Realisable value whichever is lower i.e. ₹ 2,155.

Question 12

In the following cases, find the value of closing stock as per AS 2:

(i) Sonu is a retailer dealing in toys. During the year, he purchased items worth ₹ 1,47,000 and made a total sale ₹ 1,54,000. The average percentage of gross margin is 10% on cost. Opening stock of toys at cost was ₹ 20,000.

(ii) On 21st March, 20X1, Mohan purchased 250 chairs at ₹ 300 each. The selling price of the chair is ₹ 400 each. Owing to a manufacturing defect, net realisable value of the whole lot of chairs was determined at 70% of their normal selling price. No chairs were sold during the year.

Answer

(i) Value of closing inventory

Particulars	₹
Sale value of opening stock and purchases [(₹ 20,000 + ₹ 1,47,000) x 1.10]	1,83,700
Sales	(1,54,000)
Sale value of unsold stock	29,700
Less: Gross Margin [(₹ 29,700/1.10) x 0.10]	(2,700)
Cost of closing inventory	**27,000**

(ii) Value of closing inventory

Particulars		₹
Closing stock at cost (250 x ₹ 300)	(i)	75,000
Net Realizable value of closing stock [250 x (₹ 400 x 70%)]	(ii)	70,000
Value of closing stock [lower of (i) and (ii)]		**70,000**

Question 13

The closing stock of finished goods (at cost) of a company amounted to ₹ 4,50,000. The following items were included at cost in the total:

(a) 100 coats, which had cost ₹ 2,200 each and normally sold for ₹ 4,000 each. Owing to a defect in manufacture their NRV was determined at 50% of their normal selling price.

(b) Shirts which had cost ₹ 50,000, their net realizable value at Balance sheet date was ₹ 55,000. Commission @ 10% on sales is payable to agents.

What should the inventory value be according to AS 2 after considering the above items?

Answer

Valuation of closing stock

Particulars	₹
Closing stock at cost	4,50,000
Less: Adjustment for 100 coats (Working Note 1)	(20,000)
Value of inventory	4,30,000

Working Notes:

1. Adjustment for Coats

Particulars	₹
Cost included in Closing Stock	2,20,000
NRV of Coats	2,00,000
Adjustment to be made as NRV is less than Cost	20,000

2. No adjustment required for shirts as their NRV is more than their cost which was included in value of inventory.

Question 14

On 31st March 20X1, a business firm finds that cost of a partly finished unit on that date is ₹ 530. The unit can be finished in 20X1-X2 by an additional expenditure of ₹ 310. The finished unit can be sold for ₹ 750 subject to payment of 4% brokerage on selling price. The firm seeks your advice regarding the amount at which the unfinished unit should be valued as at 31st March, 20X1 for preparation of final accounts. Assume that the partly finished unit cannot be sold in semi-finished form and its NRV is zero without processing it further.

Answer

Valuation of unfinished unit

	₹
Net selling price	750
Less: Estimated cost of completion	(310)
	440
Less: Brokerage (4% of 750)	(30)
Net Realisable Value	**410**
Cost of inventory	530
Value of inventory (Lower of cost and net realisable value)	**410**

Question 15

Mr. Mehul gives the following information relating to items forming part of inventory as on 31.03.20X1. His factory produces Product X using Raw material A.

(i) 600 units of Raw Material A (purchased @ ₹ 120). Replacement cost of raw material A as on 31.03.20X1 is ₹ 90 per unit.

(ii) 500 units of partly finished goods in the process of producing X and cost incurred till date ₹ 260 per unit. These units can be finished next year by incurring additional cost of ₹ 60 per unit.

(iii) 1,500 units of finished Product X and total cost incurred ₹ 320 per unit. Expected selling price of Product X is ₹ 300 per unit.

Determine how each item of inventory will be valued as on 31.03.20X1. Also calculate the value of total inventory as on 31.03.20X1.

Answer

As per AS 2 (Revised) "Valuation of Inventories", materials and other supplies held for use in the production of inventories are not written down below cost if the finished products in which they will be incorporated are expected to be sold at cost or above cost. However, when there has been a decline in the price of materials and it is estimated that the cost of the finished products will exceed net realisable value, the materials are written down to net realisable value. In such circumstances, the replacement cost of the materials may be the best available measure of their net realisable value. In the given case, selling price of product X is ₹ 300 and total cost per unit for production is ₹ 320.

Hence, the valuation will be done as under:

(i) 600 units of raw material will be written down to replacement cost as market value of finished product is less than its cost, hence valued at ₹ 90 per unit.

(ii) 500 units of partly finished goods will be valued at 240 per unit i.e. lower of cost (₹ 260) or Net realisable value ₹ 240 (Estimated selling price ₹ 300 per unit less additional cost of ₹ 60).

(iii) 1,500 units of finished product X will be valued at NRV of ₹ 300 per unit, since it is lower than cost ₹ 320 of product X.

Valuation of Total Inventory as on 31.03.20X1

	Units	Cost (₹)	NRV/Replacement cost (₹)	Value (₹) = Units x (Cost or NRV whichever is less)
Raw material A	600	120	90	54,000
Partly finished goods	500	260	240	1,20,000
Finished good 'X'	1,500	320	300	4,50,000
Value of Inventory				**6,24,000**

Question 16

From the following information provided by LMN Ltd. for the year 20X1, you are required to compute the closing inventory:

Closing balance of Raw Material 'A' in units	**700**
	Price Per Unit in ₹
Cost Price including GST	280
ITC available	25
Freight inward	35
Handling charges	20
Replacement Cost	200
Closing balance of Finished Good 'B' in units	**1,800**
	Price Per Unit in ₹
Material Consumed	280
Direct Labour	80
Direct overhead	40

Total fixed overhead for the year was ₹ 3,60,000 on a normal capacity of 36,000 units, while actual production has been 30,000 units.

Calculate the value of closing stock when:

(i) Net Realisable Value of Finished Goods B is 500 per unit

(ii) Net Realisable Value of Finished Goods B is 380 per unit

Answer

(i) When Net Realisable Value of Finished Goods B is 500 per unit

Value of Closing Stock:

Valuation Base	Method	Qty.	Rate (₹)	Amount (₹)
Raw Material A	Cost	700	310	2,17,000
Finished Goods B	Cost	1,800	410	7,38,000

Total Value of Closing Stock				**9,55,000**

(ii) When Net Realisable Value of Finished Goods B is 380 per unit

Since NRV of finished goods B is less than its cost (₹ 410, as per W.N.), raw material A is to be valued at replacement cost, and finished goods B is to be valued at NRV.

Value of Closing Stock:

Valuation Base	Basis	Qty.	Rate (₹)	Amount (₹)
Raw Material A	Replacement Cost	700	200	1,40,000
Finished Goods B	Net Realisable Value	1,800	380	6,84,000
Total Value of Closing Stock				**8,24,000**

Working Note: Statement Showing Calculation of Cost of Raw Material A and Finished Goods B

Raw Material A	**₹**
Cost Price (280 – 25)	255
Add: Freight Inward	35
Add: Handling Charges	20
Cost per unit	310
Finished Goods B	**₹**
Materials consumed	280
Direct Labour	80
Direct overheads	40
Fixed overheads (₹3,60,000/36,000 units)	10
Cost per unit	410

Question 17

Joy Ltd. purchased 20,000 kilograms of Raw Material @ ₹ 20 per kilogram during the year 20X0-X1. They have furnished you with the following further information for the year ended 31st March, 20X1:

Particulars	Units	Amount (₹)
Opening Inventory:		
Finished Goods	2,000	1,00,000
Raw Materials	2,200	44,000
Direct Labour		3,06,000
Fixed Overheads		3,00,000
Sales	20,000	11,20,000
Closing Inventory:		
Finished Goods	2,400	
Raw Materials	1,800	

The plant has a capacity to produce 30,000 units of finished product per annum. However, the actual production of finished products during the year 20X0-X1 was 20,400 units. Due to fall in market demand, the price of the finished goods in which the raw material has been utilized is expected to be sold @ ₹ 40 per unit.

The replacement cost of the raw material was ₹ 19 per kilogram.

You are required to ascertain the value of closing inventory as at 31st March, 20X1 as per AS 2.

Answer

Statement Showing the Computation of Value of Closing Inventory

Value of Closing Finished Goods

Particulars	Amount (₹)
Cost of Raw Material consumed (20,400 units x ₹ 20 per kg)	4,08,000
Direct Labour	3,06,000
Fixed Overheads [(₹ 3,00,000/30,000) x 20,400]	2,04,000
Cost of Production	9,18,000
Cost of Closing Inventory of Finished Goods per unit (₹ 9,18,000/20,400)	45
Net Realizable Value (NRV) per unit	40

Since net realizable value is less than cost, closing inventory of Finished Goods will be valued at ₹ 40 per unit.

Value of Closing Raw Materials

As NRV of finished goods is less than its cost, the relevant raw material will be valued at its replacement cost, which is the best available measure of its NRV i.e. @ ₹ 19 per kg.

Therefore, value of closing inventory would be as under:

Particulars	Amount (₹)
Finished Goods (2,400 units @ ₹ 40 per unit)	96,000
Raw Materials (1,800 kg @ ₹ 19 per kg)	34,200
Total	**1,30,200**

Working Note: Calculation of raw material consumed during the year:

Particulars	Unit (Kg)
Opening Inventory	2,200
Purchases	20,000
Less: Closing Inventory	(1,800)
Raw Material Consumed	**20,400**

Valuation of Inventory in Case of Joint Products

Question 18

Well Wear Limited is a Textile Manufacturing Company and engaged in the production of Polyester (P) and Nylon (N). While manufacturing the main products, a by-product Fiber (F) is also produced. Details of the cost of production are as under:

Purchase of Raw Material for manufacturing process of 30,000 units	₹ 3,50,000
Wages paid	₹ 1,60,000
Fixed overheads	₹ 1,20,000
Variable overheads	₹ 60,000

Output:	
Polyester (P)	12,500 Units
Nylon (N)	10,000 Units
Fiber (F)	3,200 Units
Closing Inventory:	
Polyester (P)	1,600 Units
Nylon (N)	400 Units

Average market price of Polyester and Nylon is ₹ 100 and ₹ 60 per unit respectively; by-product Fiber is sold @ ₹ 40 per unit. There is profit of ₹ 8,000 on sale of by-product after incurring separate processing expenses of ₹ 10,000 and packing charges of ₹ 9,000. ₹ 5,000 was realized from sale of scrap.

On the basis of the above information, you are required to compute the value of closing inventory of Polyester and Nylon.

Answer

As per AS 2 'Valuation of Inventories', most by-products as well as scrap or waste materials by their nature, are immaterial. They are often measured at net realizable value and this value is deducted from the cost of the main product.

Determination of value of closing inventory of Polyester and Nylon

	Polyester	**Nylon**
Closing inventory in units	1,600 units	400 units
Cost per unit	₹ 31.14	₹ 18.68
Value of closing inventory	**₹ 49,824**	**₹ 7,472**

Working Notes

1. Calculation of net realizable value of by-product Fiber

	₹
Selling price of by-product Fiber (3,200 units x ₹ 40 per unit)	1,28,000
Less: Separate processing charges of by-product Fiber	(10,000)
Packing charges	(9,000)
Net realizable value of by-product Fiber	**1,09,000**

2. Calculation of cost of conversion for allocation between joint products Polyester and Nylon

	₹	**₹**
Raw material		3,50,000
Wages		1,60,000
Fixed overhead		1,20,000
Variable overhead		60,000
		6,90,000
Less: NRV of by-product Fiber (W.N. 1)	(1,09,000)	
Sale value of scrap	(5,000)	(1,14,000)
Joint cost to be allocated between Polyester and Nylon		**5,76,000**

3. Determination of "basis for allocation" and allocation of Joint cost to Polyester and Nylon

		Polyester	Nylon
Output in units	(a)	12,500 units	10,000 units
Sales price per unit	(b)	₹ 100	₹ 60
Sales value	(a x b)	₹ 12,50,000	₹ 6,00,000
Total value (12,50,000 + 6,00,000) = 18,50,000			
Joint cost ₹ 5,76,000 allocated in ratio of 12,50,000:6,00,000	(c)	₹ 3,89,189	₹ 1,86,811
Cost per unit	(c/a)	₹ 31.14	₹ 18.68

Question 19

The following information is available for Zing Ltd. for the year 2024-25:

Raw Material:		
Closing Stock	700 units	
Cost price	₹ 35 per unit	
Replacement cost	₹ 20 per unit	
Finished product:	FP 1	FP 2
Production (units)	3,000	1,600
Closing stock (units)	500	300
Material consumed		₹ 3,20,000
Direct labour		₹ 1,60,000
Direct expenses		₹ 78,000

Fixed overhead for the year was ₹ 95,000, which includes godown rent of ₹ 15,000. Godown is used for storing finished products.

Besides 2 main products, 1000 units of a by-product (BY) also emerged in the production process which was sold @ ₹ 12 per unit after incurring an expense of ₹ 2,500. ₹ 4,800 was realized from sale of scrap. The average market price of FP1 is ₹ 160 per unit and FP2 is ₹ 100 per unit.

Calculate the value of closing stock of Zing Ltd. as per AS 2

Answer

As per para 10 of AS 2 'Valuation of Inventories', most by-products as well as scrap or waste materials are often measured at net realizable value and this value is deducted from the cost of the main product.

(i) Calculation of net realizable value of by-product, BY

		₹
Selling price of by-product BY	(1,000 units x ₹ 12 per unit)	12,000
Less: Separate processing charges of by-product BY		(2,500)
Net realizable value of by- product BY		9,500

(ii) Calculation of cost of conversion for allocation between joint products FP1 and FP2

	₹	₹
Raw material consumed		3,20,000
Direct labour		1,60,000

Direct expenses		78,000
Fixed overhead (95,000 – 15,000)		80,000
		6,38,000
Less: NRV of by-product BY (See calculation 1)	(9,500)	
Sale value of scrap	(4,800)	(14,300)
Joint cost to be allocated between FP 1 and FP 2		6,23,700

(iii) Determination of "basis for allocation" and allocation of joint cost to FP 1 and FP 2

	FP 1	FP 2
Output in units (a)	3,000	1,600
Sales price per unit (b)	₹ 160	₹ 100
Sales value (a x b)	₹ 4,80,000	₹ 1,60,000
Ratio of allocation	3	1
Joint cost of ₹ 6,23,700 allocated in the ratio of 3:1 (c)	₹ 4,67,775	₹ 1,55,925
Cost per unit [c/a]	₹155.93	₹97.45

(iv) Determination of value of closing inventory of Finished Products FP1 and FP2

	FP 1	FP 2
Closing inventory in units	500	300
Cost per unit	₹ 155.93	₹ 97.45
Value of closing inventory (finished goods)	₹ 77,965	₹ 29,235

(v) Determination of value of closing stock of raw material

	FP 1 (₹)	FP 2 (₹)
Cost price	155.93	97.45
Sales price	160	100

Since both finished goods FP 1 and FP 2 are sold above cost, raw material will be valued at cost i.e. ₹ 35 per unit (i.e.) ₹ 24,500 (700 units x ₹ 35)

(vi) Total value of closing inventory

(a)	Finished products:	
	FP 1	₹ 77,965
	FP 2	₹ 29,235
(b)	Raw material	₹ 1,07,200
		₹ 24,500
		₹ 1,31,700

CHAPTER - 5
AS 3: Cash Flow Statement

Basics

Question 1

Classify the following activities as (i) Operating Activities, (ii) Investing Activities, (iii) Financing Activities (iv) Cash Equivalents.

(a) Purchase of Machinery.

(b) Proceeds from issuance of equity share capital

(c) Cash Sales.

(d) Proceeds from long-term borrowings.

(e) Cheques collected from Trade receivables.

(f) Cash receipts from Trade receivables.

(g) Trading Commission received.

(h) Purchase of investment.

(i) Redemption of Preference Shares.

(j) Cash Purchases.

(k) Proceeds from sale of investment

(l) Purchase of goodwill.

(m) Cash paid to suppliers.

(n) Interim Dividend paid on equity shares.

(o) Wages and salaries paid.

(p) Proceed from sale of patents.

(q) Interest received on debentures held as investment.

(r) Interest paid on Long-term borrowings.

(s) Office and Administration Expenses paid

(t) Manufacturing Overheads paid.

(u) Dividend received on shares held as investments.

(v) Rent Received on property held as investment.

(w) Selling and distribution expense paid.

(x) Income tax paid

(y) Dividend paid on Preference shares.

(z) Underwritings Commission paid.

(aa) Rent paid.

(bb) Brokerage paid on purchase of investments.

(cc) Bank Overdraft

(dd) Cash Credit

(ee) Short-term Deposits

(ff) Highly liquid Marketable Securities (without risk of change in value)

(gg) Refund of Income Tax received.

Answer

(i) Operating Activities: c, e, f, g, j, m, o, s, t, w, x, aa & gg.

(ii) Investing Activities: a, h, k, l, p, q, u, v, bb & ee.

(iii) Financing Activities: b, d, i, n, r, y, z, cc & dd.

(iv) Cash Equivalent: ff.

Question 2

Intelligent Ltd., a non-financial company has the following entries in its Bank Account. It has sought your advice on the treatment of the same for preparing Cash Flow Statement.

(i) Loans and Advances given to the following and interest earned on them:

(1) to suppliers

(2) to employees

(3) to its subsidiaries companies

(ii) Investment made in subsidiary Smart Ltd. and dividend received.

(iii) Dividend paid for the year.

(iv) TDS on interest income earned on investments made.

(v) TDS on interest earned on advance given to suppliers.

(vi) Insurance claim received against loss of fixed asset by fire.

Discuss in the context of AS 3 Cash Flow Statement.

Answer

(i) **Loans and advances given and interest earned**

(1)	to suppliers	Operating Cash flow
(2)	to employees	Operating Cash flow
(3)	to its subsidiary companies	Investing Cash flow

(ii) **Investment made in subsidiary company and dividend received**

Investing Cash flow

(iii) **Dividend paid for the year**

Financing Cash Outflow

(iv) **TDS on interest income earned on investments made**

Investing Cash Outflow

(v) **TDS on interest earned on advance given to suppliers**

Operating Cash Outflow

(vi) **Insurance claim received of amount loss of fixed asset by fire**

Extraordinary item to be shown under a separate heading as 'Cash inflow from investing activities'.

Question 3

Classify the following activities as per AS 3 Cash Flow Statement:

(i) Interest paid by financial enterprise.

(ii) Tax deducted at source on interest received from subsidiary company.

(iii) Deposit with Bank for a term of two years.

(iv) Insurance claim received towards loss of machinery by fire.

(v) Bad debts written off.

Answer

(i) Interest paid by financial enterprise: Cash flows from **operating** activities

(ii) TDS on interest received from subsidiary company: Cash flows from **investing** activities

(iii) Deposit with bank for a term of two years: Cash flows from **investing** activities

(iv) Insurance claim received against loss of fixed asset by fire: Extraordinary item to be shown as a separate heading under 'Cash flow from **investing** activities'

(v) Bad debts written off: It is a **non-cash item** which is adjusted from net profit/loss under indirect method, to arrive at net cash flow from operating activity.

Question 4

How would the following cash flows be classified in accordance with AS 3?

- Corporate Income Tax paid amounting to ₹ 70 lakhs during the reporting period.
- Payment of advance tax ₹ 8,75,000 out of which ₹ 75,000 was towards capital gains arising on account of sale of assets during the reporting period.
- Fixed Deposits withdrawn by customers of State Bank of India ₹ 3 crores.

Answer

As per AS 3, the given cash flows shall be recorded as under:

Corporate Income Tax paid of ₹ 70 lakhs during the reporting period.	₹ 70 lakhs: **Operating** Cash Flows
Payment of advance tax ₹ 8,75,000 out of which ₹ 75,000 was towards capital gain arising on account of sale of assets during reporting period.	₹ 8,00,000: **Operating** Cash Flows ₹ 75,000: **Investing** Cash Flows
Fixed Deposits withdrawn by customers of State Bank of India ₹ 3 crores.	₹ 3 crores: **Operating** Cash Flows for State Bank of India.

Question 5

X Ltd. purchased debentures of ₹ 10 lakhs of Y Ltd., which are redeemable within three months. How will you

show this item as per AS 3 while preparing cash flow statement for the year ended on 31st March, 20X1?

Answer

As per **AS 3** on 'Cash flow Statement', cash and cash equivalents consists of cash in hand, balance with banks and short-term, highly liquid investments. If investment, of ₹ 10 lakhs, made in debentures is for short-term period then **it is an item of 'cash equivalents**.

Question 6

From following information of XYZ Limited, calculate cash and cash equivalent as on 31.03.20X2 as per AS 3.

Particulars	**Amount (₹)**
Balance as per the Bank Statement	25,000
Cheque issued but not presented in the Bank	15,000
Short Term Investment in liquid equity shares of ABC Limited	50,000
Fixed Deposit created on 01.11.20X1 and maturing on 15.04.20X2	75,000
Short Term Investment in highly liquid Sovereign Debt Mutual fund on 01.03.20X2 (having maturity period of less than 3 months)	1,00,000
Bank Balance in a Foreign Currency Account in India (Conversion Rate: On the day of deposit ₹ 69/USD; as on 31.03.20X2 ₹ 70/USD)	$ 1,000

Answer

	₹
Cash balance with bank (₹ 25,000 less ₹ 15,000)	10,000
Short term investment in highly liquid sovereign debt mutual fund on 1.3.20X2	1,00,000
Bank balance in foreign currency account ($ 1,000 x ₹ 70)	70,000
	1,80,000

Note: Short term investment in liquid equity shares and fixed deposit will not be considered as cash and cash equivalents.

Question 7

Mayuri Ltd. acquired Plant and Machinery for ₹ 25 lakhs. During the same year, it also sold Furniture and Fixtures for ₹ 4 lakhs. Can the company disclose, Net Cash Outflow towards purchase of Fixed Assets ₹ 21 lakhs (i.e., 25 lakhs – 4 lakhs) in the Cash Flow Statement?

Answer

As per **AS 3,** Cash Flow Statements, an enterprise should report separately major classes of gross cash receipts and gross cash payments arising from investing and financing activities, except in the case of:

- Cash receipts and payments on behalf of customers when the cash flows reflect the activities of the customer rather than those of the enterprise; and
- Cash receipts and payments for items in which the turnover is quick, the amounts are large, and the maturities are short.